



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Paul and Alexandra Robertson
Of
90 Smedley Road
PARK ORCHARDS VIC 3114

Prepared on:

14th June 2024

By your Adviser:

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

Paul and Alexandra Robertson
90 Smedley Road
PARK ORCHARDS VIC 3114

Dear Paul and Alex,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- | | |
|--------------------------------|--------------------------------------|
| ▪ Trust or business structures | ▪ Direct share or property purchases |
| ▪ Taxation | ▪ Legal matters |
| ▪ General insurance | |

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation advice
- Superannuation contribution strategies
- Investment review
- Retirement income planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Paul and Alex, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Explore ways in which to maximise your retirement nest egg as you move into the next phase of your working life.
- Consider appropriate superannuation contribution strategies.
- Determine your projected retirement capital.
- Assess the implications of maintaining or selling your current investment property.
- Review your superannuation portfolio to determine appropriate strategies and structure moving forward.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Paul	Alex
Surname	Robertson	Robertson
Gender	M	F
Date of Birth	28/02/1969	18/12/1979
Age Last Birthday	55	44
Marital Status	Married	Married

Employment Details

Employment Status	Full Time	Full Time
Occupation	Electrical Supervisor	Human Resources

Estate Planning

	Paul	Alex
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	Yes	Yes
Do you have a Testamentary Trust?	No	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Park Orchards Residential Home	\$1,800,000
Total Lifestyle Assets	\$1,800,000

Investment Assets	Value
Investment Property (Preston)	\$600,000
Shares	\$20,000
Monies in Offset Account	\$35,754
Total Investment Assets	\$655,754

Superannuation Assets	
Paul – CBUS	\$542,567
Alex – HESTA	\$195,448
Total Superannuation Assets	\$738,015

Total ASSETS	\$3,193,769
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LIABILITIES

Preston Investment Property Loan	\$533,980
Total Liabilities	\$533,980

NET WORTH	\$2,659,789
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Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Paul, based upon your answers to the Investor Risk Profile questionnaire, it was determined that you can be classified as a **Moderately Conservative** investor with regard to investments inside superannuation.

Typically, a **Moderately Conservative** investor has the following characteristics:

- The **Moderately Conservative** investor seeks a diversified portfolio with a balance of defensive and growth assets.
- This requires an investment time horizon of between 3 – 5 years.
- A **Moderately Conservative** portfolio would typically include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A **Moderately Conservative** investor will typically diversify their investment in the following manner:

Australian Shares	20%
International Shares	20%
Fixed Interest	42%
Property	8%
Cash	10%

Alex, based upon your responses to the Risk Profile Questionnaire, it was determined that you can be classified as a **Growth** investor with regard to investments inside of superannuation.

- A **Growth** investor typically places a greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- A **Growth** portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A '**Growth**' investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	37%
Fixed Interest	13%
Property	14%
Cash	2%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profile does not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2024-25

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	16c for each \$1 over \$18,200
\$45,001 – \$135,000	\$4,288 plus 30c for each \$1 over \$45,000
\$135,001 – \$190,000	\$31,288 plus 37c for each \$1 over \$135,000
\$190,001 and over	\$51,638 plus 45c for each \$1 over \$190,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500	SGC only
From 1 July 2022	\$27,500	\$27,500**			SGC only
From 1 July 2024	\$30,000	\$30,000**			SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

** From 1/07/2022, work test requirements were removed for all contributions, except personal tax-deductible contributions.

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year		Cannot contribute
From 1 July 2024	\$120,000 p.a.	May bring forward two years of contributions to make a \$360,000 contribution in one financial year		Cannot contribute

Superannuation Funds

Paul and Alex, you currently have the following superannuation funds:

Paul

CBUS – Account Number 521357

- The fund currently has a balance of approximately \$542,567.

Alex

HESTA – Account Number 13323862

- The fund currently has a balance of approximately \$195,448.

Superannuation Accumulation Funds

- You effectively have three options in terms of how your existing superannuation monies are structured:
 - Continue to hold these monies in your respective existing funds.
 - Roll across these superannuation monies to a more actively managed wholesale 'master trust' superannuation accumulation platform.
 - Consider the option of a Self-Managed Superannuation Fund (SMSF).

Investments Within Superannuation

CBUS – Account Number 521357 (Paul)

Paul, you have a superannuation fund with CBUS invested in the 'Growth (100%)' option.

The asset allocation of your CBUS portfolio is:

Asset Class	% of Portfolio
Australian Shares	23.00%
International Shares	29.00%
Property / Infrastructure	24.00%
Alternative	6.00%
Fixed Interest	15.00%
Cash	3.00%
	100%

Current CBUS Portfolio Profile Compared to a 'Moderately Conservative' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Moderately Conservative Portfolio	Deviation
Australian Shares	23.00%	20.00%	+3.00%
International Shares	29.00%	20.00%	+9.00%
Property/Infrastructure	24.00%	8.00%	+16.00%
Fixed Interest	15.00%	42.00%	-27.00%
Cash	3.00%	10.00%	-7.00%
Alternative	6.00%	0.00%	+6.00%

CBUS 'Growth' Option Historical Performance at 30/04/24:

	1 year	3 years (p.a.)	5 years (p.a.)
CBUS	7.60%	4.96%	6.53%

HESTA – Account Number 13323862 (Alex)

Alex, you have a superannuation fund with HESTA invested in the 'Australian Shares (14%)', the 'High Growth (30%)', the 'International Shares (15%)', and the 'Sustainable Growth (41%)' options.

The asset allocation of your HESTA portfolio is:

Asset Class	% of Portfolio
Australian Shares	33.90%
International Shares	39.84%
Property / Infrastructure	9.11%
Alternative	5.83%
Fixed Interest	8.39%
Cash	2.93%
	100%

Current HESTA Portfolio Profile Compared to a 'Growth' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Growth Portfolio	Deviation
Australian Shares	33.90%	34.00%	-0.10%
International Shares	39.84%	37.00%	+2.84%
Property/Infrastructure	9.11%	14.00%	-4.89%
Fixed Interest	8.39%	13.00%	-4.61%
Cash	2.93%	2.00%	+0.93%
Alternative	5.83%	0.00%	+5.83%

HESTA – Current Portfolio Historical Performance at 31/05/24:

	1 year	3 years (p.a.)	5 years (p.a.)
HESTA	11.39%	5.86%	8.64%

Option 1 – Maintain Existing Super

Paul

You are invested in the CBUS Super 'Growth (MySuper)' option which is not aligned with your Investor Risk Profile.

The asset allocation of this option is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical long term average performance associated with your existing CBUS Super fund is lower than alternative options.

Alex

You are invested in a combination of 4 of HESTA's investment options which are not aligned with your Investor Risk Profile.

The asset allocation of your portfolio is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical long term average performance associated with your existing Catholic Super fund is lower than alternative options.

Option 2 – Master Trust Platform (Colonial First State)

Your investments in the Colonial First State (CFS) platform would have a specifically modelled portfolio directly in line with your 'Moderately Conservative' and 'Growth' Investor Risk Profiles. The specific underlying funds that make up your individual portfolios would be:

Paul

Colonial First State Wholesale Personal Super – 'Moderately Conservative' portfolio

	% of portfolio
Realindex Australian Share Value	8.00%
Airlie Australian Share	8.00%
First Sentier Australian Small Companies	4.00%
CFS Index Global Share	10.00%
GQG Partners Global Equity	10.00%
First Sentier Property Securities	4.00%
Ironbark Property Securities	4.00%
Perpetual Diversified Income	16.00%
Yarra Enhanced Income	16.00%
Acadian Defensive Income	10.00%
FirstRate Saver	10.00%
	100.00%

Performance of the alternative Colonial First State 'Moderately Conservative*' Portfolio at 30/04/2024:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Australian Share Value	8.00%	10.83%	9.79%	9.60%
Airlie Australian Share	8.00%	11.80%	8.86%	10.99%
First Sentier Australian Small Companies	4.00%	4.63%	3.05%	8.68%
CFS Index Global Share	10.00%	17.69%	10.08%	10.63%
GQG Partners Global Equity	10.00%	31.35%	17.15%	14.90%
First Sentier Property Securities	4.00%	17.29%	7.21%	5.84%
Ironbark Property Securities	4.00%	19.10%	6.37%	6.02%
Perpetual Diversified Income	16.00%	6.62%	2.73%	2.63%
Yarra Enhanced Income	16.00%	6.86%	3.82%	3.64%
Acadian Defensive Income	10.00%	7.06%	4.25%	2.62%
FirstRate Saver	10.00%	3.86%	1.96%	1.41%
	100%	11.60%	6.55%	6.43%

* This portfolio is in line with your Investor Risk Profile

Performance of the alternative Colonial First State 'Growth**' Portfolio at 30/04/2024:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Australian Share Value	8.00%	10.83%	9.79%	9.60%
Airlie Australian Share	8.00%	11.80%	8.86%	10.99%
First Sentier Australian Small Companies	4.00%	4.63%	3.05%	8.68%
CFS Index Global Share	10.00%	17.69%	10.08%	10.63%
GQG Partners Global Equity	10.00%	31.35%	17.15%	14.90%
First Sentier Property Securities	4.00%	17.29%	7.21%	5.84%
Ironbark Property Securities	4.00%	19.10%	6.37%	6.02%
Perpetual Diversified Income	16.00%	6.62%	2.73%	2.63%
Yarra Enhanced Income	16.00%	6.86%	3.82%	3.64%
Acadian Defensive Income	10.00%	7.06%	4.25%	2.62%
FirstRate Saver	10.00%	3.86%	1.96%	1.41%
	100%	14.49%	8.43%	9.00%

** This portfolio is in line with your current CBUS portfolio

Alex

Colonial First State Wholesale Personal Super – ‘Growth’ portfolio

	% of portfolio
Realindex Australian Share Value	13.00%
Airlie Australian Share	13.00%
First Sentier Australian Small Companies	8.00%
CFS Index Global Share	15.00%
GQG Partners Global Equity	15.00%
Bell Global Emerging Companies	7.00%
First Sentier Property Securities	7.00%
Ironbark Property Securities	7.00%
Yarra Enhanced Income	7.00%
Perpetual Diversified Income	6.00%
FirstRate Saver	2.00%
	100.00%

Performance of the alternative Colonial First State ‘Growth*’ Portfolio at 31/05/2024:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Australian Share Value	13.00%	14.91%	9.07%	9.26%
Airlie Australian Share	13.00%	12.62%	7.30%	10.07%
First Sentier Australian Small Companies	8.00%	5.48%	2.33%	8.65%
CFS Index Global Share	15.00%	18.25%	10.22%	11.84%
GQG Partners Global Equity	15.00%	30.21%	17.13%	15.56%
Bell Global Emerging Companies	7.00%	6.06%	3.42%	7.96%
First Sentier Property Securities	7.00%	22.22%	7.36%	5.98%
Ironbark Property Securities	7.00%	21.24%	6.11%	6.07%
Yarra Enhanced Income	7.00%	8.04%	3.87%	3.65%
Perpetual Diversified Income	6.00%	6.91%	2.91%	2.76%
FirstRate Saver	2.00%	3.95%	2.07%	1.45%
	100%	15.81%	8.09%	9.17%

* This portfolio is in line with your Investor Risk Profile

Paul

Proposed Portfolio

Superannuation Assets	
CBUS Accumulation Fund (Account # - 521357)	\$0
Colonial First State Wholesale Personal Super (Account # - TBD)	\$542,567
Realindex Australian Share Value	\$43,405
Airlie Australian Share	\$43,405
First Sentier Australian Small Companies	\$21,703
CFS Index Global Share	\$54,257
GQG Partners Global Equity	\$54,257
First Sentier Property Securities	\$21,703
Ironbark Property Securities	\$21,703
Perpetual Diversified Income	\$86,811
Yarra Enhanced Income	\$86,811
Acadian Defensive Income	\$54,257
FirstRate Saver	\$54,257
Superannuation Assets	\$542,567

Alex

Proposed Portfolio

Superannuation Assets	
HESTA Accumulation Fund (Account # - 13323862)	\$0
Colonial First State Wholesale Personal Super (Account # - TBD)	\$195,448
Realindex Australian Share Value	\$25,408
Airlie Australian Share	\$25,408
First Sentier Australian Small Companies	\$15,636
CFS Index Global Share	\$29,317
GQG Partners Global Equity	\$29,317
Bell Global Emerging Companies	\$13,681
First Sentier Property Securities	\$13,681
Ironbark Property Securities	\$13,681
Yarra Enhanced Income	\$13,681
Perpetual Diversified Income	\$11,727
FirstRate Saver	\$3,909
Superannuation Assets	\$195,448

Benefits:

- The alternative portfolio has outperformed your current fund.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Paul

Type of Fee or Cost	CBUS Super - \$542,567	Colonial Wholesale Super Fund - \$542,567
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee \$78 p.a. + 0.19% p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	\$1,200 p.a.
Annual average cost – Total \$542,567 investment	\$1,109 p.a.	\$1,200 p.a.

Outcomes Post Implementation - Dean:

- Dean, the sum of your total ongoing administration fees will **increase** by proximately **\$91 PER ANNUM**.
- The 'like-for-like' Colonial First State Wholesale '**Growth**' portfolio has **outperformed** your current CBUS Super Fund over the past 5 years by an average of **2.47%** per annum. Based on your current balance, **this equates to \$13,401 p.a. (\$67,005 over a five-year period)**.
- The historical performance figures outlined on the previous pages are **NET** of the respective investment fees. The investment fees for the above two options are as follows:
 - CBUS (current) – 0.50%
 - CFS portfolio (proposed) – 0.78%

Replacement of an Existing Product

Alex

Type of Fee or Cost	HESTA - \$195,448	Colonial Wholesale Super Fund – \$195,448
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee \$52 p.a. + 0.15% p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	\$600 p.a.
Annual average cost - Total \$195,448 investment	\$345 p.a.	\$600 p.a.

Outcomes Post Implementation - Angela:

- Angela, the sum of your total ongoing management and administration fees will **increase** by proximately **\$255 PER ANNUM**.
- The Colonial First State Wholesale ‘**Growth**’ portfolio has **outperformed** your current fund over the past 5 years by an average of **0.53%** per annum. Based on your current balance, **this equates to \$1,036 p.a. (\$5,180 over a 5-year period)**.
- The historical performance figures outlined on the previous pages are **NET** of the respective investment fees. The investment fees for the above two options are as follows:
 - HESTA (current) – 0.74%
 - CFS portfolio (proposed) – 0.87%

Option 3 – Self-Managed Superannuation Fund (SMSF)

Benefits:

- Flexibility and control of your investment decisions
- The ability to purchase investment assets that cannot be purchased via other types of superannuation funds (e.g. direct property).
- The ability to borrow to invest.

Downsides:

- Running an SMSF can be expensive if you don't manage all costs, fees and charges of the products and services you use.
- As trustee of an SMSF, there are many obligations that you must understand as there may be significant penalties applied should these obligations be breached.

Self-Managed Superannuation Fund (SMSF) Vs Master Trust

SMSF

A super fund is generally a self-managed super fund (SMSF) if:

- It has 4 or less members;
- No member of the fund is an employee of another member of the fund (unless they are related);
- Each member is a trustee or director of the corporate trustee, and
- No trustee of the fund receives any remuneration for their services as a trustee.

Since you are over 18 years of age, not under a legal disability and have not been disqualified*, you are eligible to be a trustee.

There are several detailed steps involved in establishing and managing an SMSF. Briefly, as trustees of an SMSF you are required to:

1. Establish your fund which includes appointing trustees (i.e. yourself as sole director of a corporate trustee) and make an irrevocable election to be regulated, obtain a tax file number and Australian business number.
2. Comply with all legislative requirements at all times – especially the SIS legislation which is the principal piece of legislation regulating super funds.
3. Comply with the sole purpose test. The object of this test is to ensure that SMSFs are maintained for the purpose of providing benefits to members upon their retirement, or their dependants if one of you dies before retirement.
4. Accept contributions in accordance with the SIS legislation and your trust deed.

5. Manage your funds' investments which includes having an investment strategy and complying with the investment restrictions associated with SMSFs. For example, as trustee, you are prohibited from lending money or providing direct or indirect financial assistance* from the fund to a member or a member's relative.
6. Pay benefits in accordance with SIS legislation. In order to do this you must understand when benefits can be paid to members and in what form (i.e. as a lump sum, and or income stream).
7. Meet lodgement and administrative obligations of which there are several including annual income tax and regulatory returns as well as record keeping requirements.
8. You must appoint an approved auditor to audit the operations of the fund each year or part year the fund is in existence. The auditor is required to assess the fund's overall compliance with SIS legislation and the fund's financial statements.

** This includes the provision of credit.*

To protect your retirement income the Australian Taxation Office (ATO) regulates SMSFs to ensure they comply with SIS legislation. Failure to comply is known as a 'contravention' of the applicable legislation and may result in the ATO taking compliance action against you.

Accordingly, it is vital that you understand and conduct your obligations as trustees of the fund to the utmost of your abilities.

Advantages of having an SMSF:

- Flexibility and control of your investment decisions
- The ability to purchase property and assets that are used as an investment, and owned by the SMSF.

Disadvantages of having an SMSF:

- Running an SMSF can be expensive if you don't manage all costs, fees and charges of the products and services you use.

Superannuation Master Trusts

A superannuation master trust is a superannuation structure that allows an investor to hold a portfolio of [managed funds](#) under the one umbrella. It provides centralised reporting and is often used by financial advisers as a convenient and simple way to manage their client's portfolio.

Master trusts typically have the following features:

- Investments are held by a [trustee](#) in its name, on behalf of the investor
- The value of an investor's account is determined by the trustee based on the value of the underlying investments
- All fees and some taxes are bundled into the [unit price](#) for each investment and allocated to the investor

- Income from the underlying assets is paid to the master trust and then distributed to members
- [Franking credits](#) are incorporated into the unit price of the underlying investment

Benefits:

- Master trusts are beneficial for those who have a large sum of money to invest and want the convenience of one report for multiple investments.
- Access to wholesale funds - You can access a wide range of wholesale funds that you may not be able to access individually.
- Once you commence an income stream, the earnings on your superannuation funds used in the purchase price of the pension become tax free. This remains the case for the life of the pension.
- You will receive consolidated reporting on performance.

Risks:

- The performance of the investments within a master trust is subject to the performance of the market in which they are invested.

Superannuation Fund Costs

A guide to the fee structure under a SMSF is as follows:

Type of Fee or Cost	SMSF (Self-Managed Super Fund) p.a.
One-off set up cost of SMSF	\$3,000+GST
Annual Accounting Fees and Audit (estimated)	\$2,500+GST
One-off Bare Trust set up cost (at time of borrowing)	\$2,500+GST

Whilst an SMSF may prove costly to set up, additional benefits may be obtained such as tax minimisation and the ability to borrow to invest within the superannuation environment.

Self-Managed Superannuation Funds – Key Considerations

The Role a Trust Deed Plays in a SMSF.

A SMSF cannot exist without a trust deed. The trust deed is a legal document that establishes the fund and provides the rules for its day-to-day operations and member entitlements. The trust deed should include rules that:

- Control who can be a trustee and who cannot be a trustee, what the trustee can do and what the trustee can't do, how the trustee can retire and a new trustee appointed, what the trustee can be paid and so on
- Describe who can be a member
- Describe what contributions can be accepted and from whom
- Describe the lump sum and pension benefits, and how they are calculated, on retirement, on death or permanent disability, or on serious financial hardship
- Describe how the decisions of the trustee should be made
- Describe the types and rules for death benefit nominations
- Facilitate the preparation and implementation of an investment strategy
- Allow members access to all relevant fund documents

The SMSF Investment Objective

- The sole purpose of the fund is to provide a lump sum or pension benefits upon retirement or death.
- The investment objective of the fund is to provide real, medium to longer term growth in the value of the assets held by the fund either through capital growth in the value of existing investments or by the reinvestment of income generated by existing investments.

Other Considerations of the SMSF

Trustee responsibilities

Paul and Alex, as the trustees of your SMSF you are responsible for compliance with a range of investment related requirements including the investment strategy covenant and various restrictions on investments and benefits including those related to:

- lending to members or their relatives
- *acquiring assets from members or their relatives (as mentioned below)
- in-house assets (for example, a loan from the fund to a related company or trust)
- arm's-length transactions (for example, a fair market value must be paid if the fund acquires listed shares from a member or relative)
- borrowing by the fund
- member reporting obligations (including annual statements)

- contribution acceptance standards
- benefit payment standards.

**A superannuation fund may only purchase certain types of investments (at market value) from you or an associate, such as a relative. These include shares listed in Australia or on an approved overseas stock exchange, units in retail unit trusts and business real property used wholly for any commercial business. The transfer of virtually all other assets that a member already owns into the fund may incur fines or criminal prosecution.*

The SMSF Investment Strategy

As per relevant legislation under Section 52(2) (f) of the SIS Act, an investment strategy should be formulated by the trustees. This is the fund's plan to make, hold and realise fund assets. This strategy should be consistent with your investment objectives specific to the fund. The investment strategy should take into account certain elements as set down by the aforementioned legislation:

- diversification
- risk and return (refer to risk profile section)
- liquidity and cashflow
- Expression of investment strategy – strategy must be clear and unambiguous.
- Trustee Minutes – minutes must be taken to demonstrate that relevant issues relating to statutory and non-statutory matters have been considered.
- Giving Effect to Strategy – implementing the investment strategy.
- Fund Reserves – Reserving policy which reduces volatility of returns and provides investment performance smoothing for the fund. In good performance years the reserves are increased and in underperforming years funds are taken from the reserve to prop up lacklustre performance in the fund.
- Segregation of Fund Assets – Assets of an SMSF can be maintained at fund level or allocated to individual members. Returns are also allocated in this instance.

In addition to diversification across asset classes, in order to manage risk, the fund will seek to diversify the portfolio across individual assets, sectors within asset classes, and investment managers.

The fund's investments may include:

- direct equities, stocks and derivatives and include the participation in dividend reinvestment programs, rights issues and the like
- property trusts and associated investments, direct residential, industrial or commercial property investment
- managed investments and associated products
- bank and other financial institution securities including term deposits and debentures
- secured and unsecured notes and bonds

- any other investment which would not prejudice Government Approval of the Fund.

The liquidity and cashflow of the fund and its investments will be managed to ensure that the fund is able to pay all expenses, tax and member benefits as and when they are likely to become due.

Example SMSF Investment Strategy

Investment objectives

Long term (5 – 7 years)

- To enhance the value of the members savings, and
- To achieve a long-term return of at least inflation (as measured by CPI) plus 3.5% per annum over rolling 5-year periods, which historically equates to the real rate of return which may be expected from a balanced portfolio.

Short term (2 years or less)

- To ensure the fund provides positive returns in most financial years, and
- To ensure sufficient liquidity to meet operating expenses and taxation liabilities as they fall due.

Investment strategy

The investment strategy is the method to be implemented in order for the trustees to achieve the investment objective. The investment strategy of the trustee is to invest the fund's assets in the following portfolios:

Portfolio	Range	Benchmark Growth
Australian shares	32% - 37%	34%
International shares	35% – 40%	37%
Property	12% - 17%	14%
Fixed interest	10% - 15%	13%
Cash	0% - 5%	2%

These ranges are purely indicative and the trustee may vary the allocations at any time if satisfied that conditions warrant such a change. In arriving at the investment strategy, the trustees considered the following:

Diversification of investment strategy

You should consider the diversification of the fund's investments, and be of the opinion that the strategy is appropriate given the size of the fund in terms of both investments and the number of members.

Liquidity of the investment strategy

You must be of the opinion that the investment strategy is structured in such a manner so that the fund is sufficiently liquid to discharge its current and future liabilities.

Short-term liabilities include lump sum payments, tax liabilities, annual return fees, accounting fees and audit fees.

Borrowing to invest in Property in a SMSF

Background

From 24 September 2007 the general prohibition on superannuation funds borrowing was relaxed to allow super funds, including SMSFs, to borrow, to purchase any asset they would otherwise be permitted to acquire.

How do these rules work?

These rules allow a super fund trustee to borrow money or to maintain a borrowing of money, under an arrangement where:

- the borrowing is applied for the acquisition of an asset other than one the super fund trustee would be prohibited from acquiring
- the asset is held on trust for the super fund so that the trustee acquires the beneficial interest in the asset (ie a trust is established over the asset)
- the super fund trustee has the right to acquire legal ownership of the asset after making one or more payments, and
- the rights of the lender against the super fund trustee in relation to the borrowing (and any related charges) are limited to the rights relating to the asset

Who can make a loan to a Fund; can it be a member or a bank?

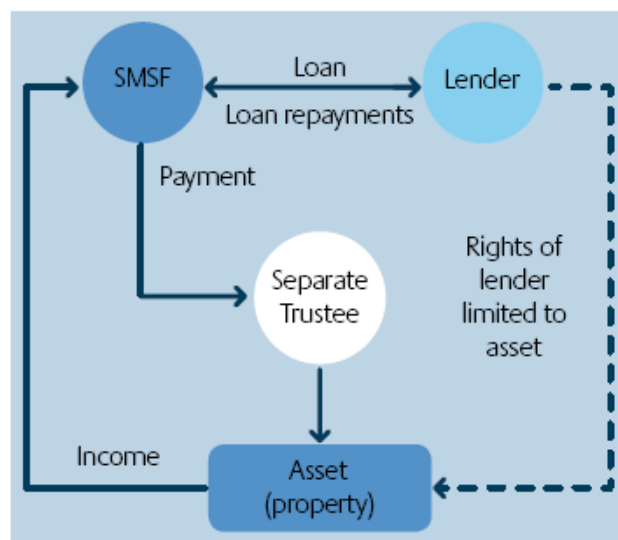
There are no restrictions on who can make a loan to a Fund. Therefore, a member, a bank or any other entity could make a loan to a Fund provided the loan complies with the Superannuation Industry Supervision Act (SISA) borrowing Requirements.

Trust arrangements

A requirement of the borrowing exemption is that the asset must be held on trust for the SMSF so that the SMSF acquires the beneficial interest in the asset. That is, the SMSF will not be permitted to directly hold the legal ownership of the asset until it has paid off the loan.

A trust relationship must be established to satisfy the borrowing rules. This could be achieved by the SMSF entering into a trust relationship with another entity, such as a member of the fund, to separate the legal and beneficial ownership of an asset. In this case, the entity holding the legal ownership of the asset would be the trustee, while the SMSF would be the beneficiary and hold the beneficial ownership of the asset. As the beneficial owner of the asset, the SMSF would be entitled

to all the income from the asset and is able to instruct the separate trustee to transfer the ownership of the asset to the SMSF on repayment of the loan.



Loan requirements and practical issues

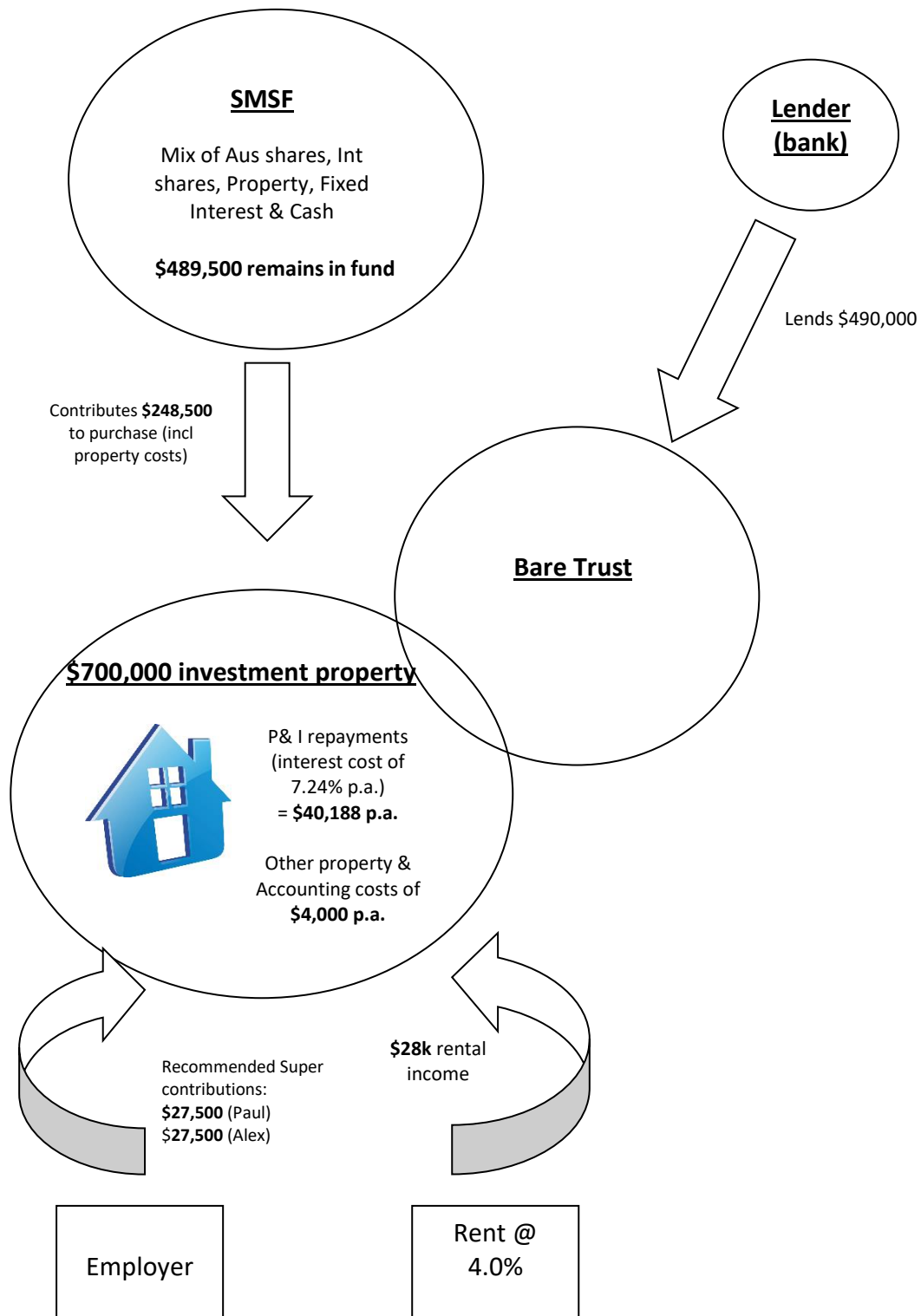
In order for the borrowing to be allowable the loan must be on a limited recourse basis only. That is, the rights of the lender against the SMSF trustee for any default on the borrowing (and any additional charges) must be limited to the rights relating to the asset that was purchased with the borrowing. These rights may include taking possession and disposing of the asset. For example, if a SMSF borrowed money to purchase an asset, such as a commercial property, the rights of the lender against the SMSF must be limited to the rights relating to that particular asset (or any replacement asset). If the SMSF then defaulted, the lender's recourse would only be against that asset. If there was any shortfall on the sale of the property that loss would be borne by the lender.

From a practical perspective the requirement for a limited recourse loan will effectively limit the amount a SMSF trustee can borrow. That is, some lenders may only be willing to lend up to a certain Loan to Value Ratio (LVR) on certain asset classes, such as property. For example, a bank lender may only be willing to lend on direct property and only up to a maximum 70% LVR.

The interest rate for a limited recourse loan may also be higher to reflect the higher risk to the lender. This may also limit a SMSF's ability to borrow in many circumstances. For example, a lender may be willing to go up to an 80% LVR on an asset but the interest rate may be so high as to make the loan so expensive, which results in losses to the SMSF.

How borrowing may work in your SMSF – Potential Strategy

We have assumed a purchase price of \$700,000 + stamp duty and other costs which equates to a total outlay of \$738,500. We have also assumed the SMSF starts with a balance of approximately \$738,000 (Paul and Alex's balances added together).



* A purchase of \$700,000 has been used purely for illustrative purposes. This has been documented as a potential strategy as you have stated that you would like to explore property as an asset class and learn more about the tax effective ownership structures.

Concessional Superannuation Contributions Carry Forward

Paul and Alex, the concessional superannuation contribution cap for the past 3 years has been \$27,500 per annum. In the 2024/25 Financial Year, this cap will increase to \$30,000 p.a.

Carry Forward Concessional Contributions:

- If you have a total superannuation balance below \$500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
 - have a 'total superannuation balance' of less than \$500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
 - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.
- **Paul**, the following concessional contributions have been made to your superannuation fund in recent years:

Financial Year	Paul	Total Allowable Contributions
2018/19	\$13,107	\$25,000
2019/20	\$11,653	\$25,000
2020/21	\$14,845	\$25,000
2021/22	\$25,549	\$27,500
2022/23	\$17,568	\$27,500
TOTAL	\$82,722	\$130,000

- Paul, you therefore have an approximate total of **\$47,278** in concessional contributions available to you this financial year which in turn will lower your taxable income.

Financial Year	Paul	Total Allowable Contributions
2023-24	\$17,771*	\$27,500

* Estimated contribution for 2023/24.

- **Alex**, the following concessional contributions have been made to your superannuation fund in recent years:

Financial Year	Alex	Total Allowable Contributions
2018/19	\$7,429	\$25,000
2019/20	\$7,771	\$25,000
2020/21	\$9,773	\$25,000
2021/22	\$12,235	\$27,500
2022/23	\$8,928	\$27,500
TOTAL	\$46,136	\$130,000

- You therefore have a total of **\$83,864** in 'catch-up' concessional contributions available to you this financial year.

Financial Year	Alex	Total Allowable Contributions
2023/24	\$6,101*	\$27,500

* Estimated contribution for 2023/24.

Recommendation:

- **Paul and Alex**, as your respective superannuation balances were less than \$500,000 on 1 July 2023 you are eligible to make 'catch up' concessional contributions prior to 30 June 2024.
- **Paul**, since your balance has exceeded \$500k throughout this Financial Year you will no longer be eligible to take advantage of these 'catch-up contributions' after 30 June 2024.
- As both of your taxable incomes are well above \$45,000, you will receive a significant tax benefit in making concessional contributions into super.
- Both consider making salary sacrifices or personal concessional contributions to superannuation up to the maximum limit each year. This would equate to additional personal contributions of **approximately \$17,000 p.a. for Alex and \$8,500 p.a. for Paul**. The associated tax benefit is outlined on the following page.

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to the 47% (inc. Medicare levy) if taken as income.
- **The total tax saving each year is anticipated to be:**
 - Paul **\$1,445**
 - Alex **\$3,115**
- **The total tax saving this financial year if you utilise the 'catch up' contributions available and contribute \$47,278 and \$33,000, respectively, into Super this year on top of the yearly additional personal contributions.**
 - Paul **\$9,483**
 - Alex **\$10,075**

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Tax Liability – Paul

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	\$250,000			
Deductions				
		\$0		
TAXABLE INCOME			\$250,000	
Tax Payable before Rebates/Credits				\$83,167
LESS Rebates & Credits				
Rebates				(\$0)
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$83,167
Medicare Levy				\$5,000
NET TAX				\$88,167

Proposed Estimated Tax Liability (if additional contribution made to reach limit each year)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	\$250,000			
Deductions				
Additional concessional contribution		\$8,500		
TAXABLE INCOME			\$241,500	
Tax Payable before Rebates/Credits				\$79,342
LESS Rebates & Credits				
Rebates				(\$0)
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$79,342
Medicare Levy				\$4,830
NET TAX				\$84,172

Note: the additional \$8,500 superannuation contribution will be subject to a maximum contributions tax of 30% (\$2,550)¹. Therefore, total tax incurred will be \$86,722.

Therefore, the overall income tax benefit each year is anticipated to be at least \$1,445 PER ANNUM.

¹ As the combination of your income and 'concessional' contributions may exceed \$250,000, part or all of these additional contributions may incur a 'top-up' Division 293 tax of 15% on top of the 15% deducted by your Super fund when the contribution is made.

Tax Liability - Paul

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	\$250,000			
Deductions				
		\$0		
TAXABLE INCOME			\$250,000	
Tax Payable before Rebates/Credits				\$83,167
LESS Rebates & Credits				
Rebates				(\$0)
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$83,167
Medicare Levy				\$5,000
NET TAX				\$88,167

Proposed Estimated Tax Liability (if catch-up contributions used in one year)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from Employment	\$250,000			
Deductions				
Additional Concessional Contribution		\$8,500		
'Catch-Up' Contribution		\$47,278		
TAXABLE INCOME			\$194,222	
Tax Payable before Rebates/Credits				\$58,067
LESS Rebates & Credits				
Rebates				(\$0)
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$58,067
Medicare Levy				\$3,884
NET TAX				\$61,951

Note: the additional \$55,778 superannuation contribution will be subject to a maximum contributions tax of 30% (\$16,733). Therefore, total tax incurred will be \$78,684.

Therefore, the overall income tax benefit from utilising the “catch-up” contributions from the previous five Financial Years’ is anticipated to be at least \$9,483 this year.

Tax Liability – Alex

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	\$95,000			
Deductions				
Total deductions		\$0		
TAXABLE INCOME			\$95,000	
Tax Payable before Rebates/Credits				\$21,342
LESS Rebates & Credits				
Rebates				(\$0)
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$21,342
Medicare Levy				\$1,900
NET TAX				\$23,242

Proposed Estimated Tax Liability (if additional contribution made to reach limit each year)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	\$95,000			
Deductions				
Additional concessional contribution		\$17,000		
TAXABLE INCOME			\$78,000	
Tax Payable before Rebates/Credits				\$15,817
LESS Rebates & Credits				
Rebates				(\$0)
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$15,817
Medicare Levy				\$1,560
NET TAX				\$17,377

Note: the additional \$17,000 superannuation contribution will be subject to contributions tax of 15% (\$2,550). Therefore, total tax incurred will be \$19,927.

Therefore, the overall income tax benefit each year is anticipated to be \$3,315 PER ANNUM.

Tax Liability – Alex

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	\$95,000			
Deductions				
Total deductions		\$0		
TAXABLE INCOME			\$95,000	
Tax Payable before Rebates/Credits				\$21,342
LESS Rebates & Credits				
Rebates				(\$0)
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$21,342
Medicare Levy				\$1,900
NET TAX				\$23,242

Proposed Estimated Tax Liability (if optimal catch-up contributions used)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from Employment	\$95,000			
Deductions				
Additional Concessional Contribution		\$17,000		
'Catch-Up' Contribution		\$33,000		
TAXABLE INCOME			\$45,000	
Tax Payable before Rebates/Credits				\$5,092
LESS Rebates & Credits				
Rebates				(\$325)
Total Rebates & Credits				(\$325)
TAX PAYABLE after REBATES & CREDITS				\$4,767
Medicare Levy				\$900
NET TAX				\$5,667

Note: the additional \$50,000 superannuation contribution will be subject to contributions tax of 15% (\$7,500). Therefore, total tax incurred will be \$13,167.

Therefore, the overall income tax benefit from utilising the “catch-up” contributions from the previous five Financial Years’ is anticipated to be \$10,075 this year.

- Paul, if you contribute the 'catch-up' contributions (\$47,278), along with the maximum annual concessional contributions available to you, the income tax saving over the next four years is estimated to be \$41,726.

**it is assumed existing employer contributions remain the same through these 4 years at \$19,000 p.a.*

	2023/24	2024/25	2025/26	2026/27	Total
Concessional Contribution Cap	\$27,500	\$27,500	\$27,500	\$27,500	
'Catch-Up' Contributions Available	\$47,278	-	-	-	
'Catch-Up' Contribution	\$47,278	-	-	-	\$47,278
Additional Concessional Contribution	\$8,500	\$11,000	\$11,000	\$11,000	\$41,500
Total Additional Concessional Contribution	\$55,778	\$11,000	\$11,000	\$11,000	\$88,778
Employer Contribution	\$19,000	\$19,000	\$19,000	\$19,000	
Total Concessional Contribution	\$74,778	\$30,000	\$30,000	\$30,000	
Taxable Income	\$194,222	\$239,000	\$239,000	\$239,000	
Reduction in Income Tax Payable	\$26,216	\$5,170	\$5,170	\$5,170	\$41,726

- Alex, if you contribute the 'carry forward' contributions (\$83,864), along with the maximum annual concessional contributions available to you, the income tax saving over the next four years is anticipated to be \$53,069.

**It is assumed existing employer contributions remain the same through these 4 years at \$10,500 p.a.*

	2023/24	2024/25	2025/26	2026/27	Total
Concessional Contribution Cap	\$27,500	\$27,500	\$27,500	\$27,500	
'Catch-Up' Contributions Available	\$83,864	\$50,864	\$20,364	-	
'Catch-Up' Contribution	\$33,000	\$30,500	\$20,364		\$83,864
Additional Concessional Contribution	\$17,000	\$19,500	\$19,500	\$19,500	\$75,500
Total Additional Concessional Contribution	\$50,000	\$50,000	\$39,864	\$19,500	\$159,364
Employer Contribution	\$10,500	\$10,500	\$10,500	\$10,500	
Total Concessional Contribution	\$60,500	\$60,500	\$50,364	\$30,000	
Taxable Income	\$45,000	\$45,000	\$55,136	\$75,500	
Reduction in Income Tax Payable	\$17,575	\$16,325	\$12,929	\$6,240	\$53,069

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Superannuation Contributions Utilising Cash Reserves in Offset Account

- You have \$35,754 of cash which is currently offsetting a portion of your investment property loan.
- You have the ability to utilise this cash to assist with the superannuation contribution strategy outlined in this Statement of Advice.
- Assuming there are no further liquid funds available, additional funds may be sourced via a Line of Credit (LOC) against your residential property.
- We have assumed an interest cost of 6.52% on any debt.

Interest Cost of Contribution Strategy:

Paul, you will incur an interest cost of \$18,850 over 4 years in order to make a total concessional contribution of \$88,778 into superannuation over this period.

Year:	2023/24	2024/25	2025/26	2026/27	Total
Contribution:	\$55,778	\$11,000	\$11,000	\$11,000	\$88,778
Offset/LOC Used:	\$55,778	\$66,778	\$77,778	\$88,778	\$88,778
Interest Expense:	\$3,637	\$4,354	\$5,071	\$5,788	\$18,850

Alex, you will incur an interest cost of \$29,290 over 4 years in order to make a total concessional contribution of \$159,364 into superannuation over this period.

Year:	2023/24	2024/25	2025/26	2026/27	Total
Contribution:	\$50,000	\$50,000	\$39,864	\$19,500	\$159,364
Offset/LOC Used:	\$50,000	\$100,000	\$139,864	\$159,364	\$159,364
Interest Expense:	\$3,260	\$6,520	\$9,119	\$10,391	\$29,290

This brings the combined total interest expense in order to make the recommended concessional contributions across the 4-year period to **\$48,140**. This strategy requires a combined total of \$248,142 to be used from the offset bank account (or from alternative sources).

Tax saving and growth of super monies:

- By directing these monies into superannuation, the monies will then be invested within an investment fund that contains an asset allocation appropriate your investor risk profile.
- Paul, it is anticipated your income tax payable will reduce by approximately **\$41,726** over this period.
- Alex, it is anticipated your income tax payable will reduce by approximately **\$53,069** over this period.
- This means your combined income tax payable will reduce by approximately **\$94,795** over this 4-year period.
- Using a conservative average superannuation return of 6% p.a., the additional \$248,142 contributed into super via the concessional contribution strategy will earn **\$47,533** over the 4-year period.

Year:	2023/24	2024/25	2025/26	2026/27	2027/28	Total
Contribution:	\$105,778	\$61,000	\$50,864	\$30,500	-	\$248,142
Total:	\$105,778	\$173,125	\$234,376	\$278,939	\$295,675	\$295,675
Earnings @6%:	N/A	\$6,347	\$10,387	\$14,063	\$16,736	\$47,533

Recommendation:

- Paul and Alex, we suggest directing surplus monies into superannuation via the contribution strategy previously detailed.

Basis of Recommendation:

- The reduction in tax payable and the growth rate within superannuation are anticipated to exceed the interest you will incur on the borrowed funds.
- You will be building assets in what will ultimately be a tax-free environment (Superannuation when in Pension Phase).

Investments Currently Outside of Superannuation

Paul and Alex, you currently have one investment property owned outside of superannuation.

- The investment property located in Preston is valued at approximately \$600,000, with an associated debt of approximately \$534,000.
- You purchased the property in 2016 for \$585,000.
- You are currently paying principal and interest at a variable rate of 6.52% on the loan.
- The property provides rental income of \$27,120 per annum (as per the Rent Income Summary provided).
- You estimate ongoing costs to average around \$200 per month (\$2,400 p.a.).
- The net income of this property per annum is therefore calculated as:

	Rental Income	\$27,120
Less	Interest Expense	\$34,817
Less	Est. Other Expenses	\$2,400
	TAXABLE INCOME	- \$10,097

If we take the estimated value of the property at the time of purchase (estimated at 2016) and the current estimated value, we are left with annual capital growth of:

	Current Value	\$600,000
Less	Purchase Value	\$585,000
	Capital Gain	<u>\$15,000</u>
Divide by Time (Years)	7	
	Capital Gain p.a.	<u>\$2,143</u>

We can then combine the net income and capital growth to calculate the performance of the Preston investment property with respect to its return on investment:

	Net Income	- \$10,097
Plus	Capital Growth	\$ 2,143
	Annual Growth	- <u>\$ 7,954</u>
Divide by Current Value	\$600,000	
	Annual Growth (%)	- <u>1.33%</u>

Capital Gains Tax

- A high-level overview of the potential Capital Gains Tax (CGT) applicable upon sale of the Preston property is detailed as follows:

Sale price:	\$600,000
Less: Purchase Price	\$585,000
Capital Gain	\$15,000
Less: 50% discount	\$7,500
Assessable Gain	\$7,500
50% added to Paul's income:	$\$3,750 * 47.00\% = \$1,763$
50% added to Alex's income:	$\$3,750 * 34.50\% = \$1,294$
Tax on Assessable Gain	\$3,057

Recommendations:

- We recommend selling the property and using the proceeds to assist in following the contribution strategy detailed within this Statement of Advice (SoA).

Basis for Recommendation:

- Paul and Alex, based on the information provided, the investment property was bought for a value of \$585,000. You have estimated the current value at \$600,000.
 - Based on the calculations on the previous page, this property has achieved returns of -1.33% p.a. since its purchase approximately 7 years ago.
- Utilising the proceeds from the sale of this property to assist in following the contribution strategy detailed within this Statement of Advice, it is estimated that you will realise greater returns on your investments within superannuation.

Capital Gains and Ownership Structures

The following table demonstrates the Capital Gains Tax payable under different ownership structures, using the purchase of a \$600,000 investment property as an example (i.e. the investment property is sold at the end of the period and any capital gain is realised):

Ownership	Purchase Price	Sale Price	Gain	Calculation of Assessable Gain	Assessable Gain	Tax Paid
Pty Ltd Company	\$600,000	\$1,200,000	\$600,000	100%	\$600,000	\$180,000
Own Name	\$600,000	\$1,200,000	\$600,000	50%	\$300,000	\$111,667*
Trust	\$600,000	\$1,200,000	\$600,000	50%	\$300,000	\$111,667*
SMSF – Accumulation Phase	\$600,000	\$1,200,000	\$600,000	2/3 ^{rds} of 15%	\$600,000	\$60,000
SMSF – Pension Phase	\$600,000	\$1,200,000	\$600,000	0%	\$0	\$0

* Assumes no other taxable income in the financial year that the property is sold.

Investment Structures & Associated Retirement Projections:

Assumptions:

- 10-year period projections (takes you to the ages of 65 and 54).
- Superannuation Capital, Managed Funds and Shares increase in value by 6.0% p.a.
- It is assumed the investment property will be sold at the end of the next FY.
 - Surplus funds after debt extinguished and monies in offset flow into a bank account totalling \$100k.
- Bank accounts earn interest of 4% p.a.
- Income Tax savings from Super contributions flow into the bank the following year.
- We have assumed an interest rate of 6.52% for any equity taken from your residential home.
- Residential home achieves capital growth of 5% p.a.
- Concessional contributions into Super are taxed at 15%.
- Total Capital as at this point is as follows.

Total Super Capital:	\$738,015
Total Net Investment Capital (outside superannuation):	\$121,774
Net Retirement Capital:	\$859,789
Net Residential Capital:	\$1,800,000

Scenario 1:

- Retain current position.

Total Net Super Capital:	\$1,652,181
Total Net Investment Capital (outside superannuation):	\$178,148
Net Retirement Capital:	\$1,830,329
Net Residential Capital:	\$2,932,010

Scenario 2:

- Implement recommended additional concessional superannuation contributions.
- Utilise proceeds from investment property sale and tax savings to make initial contributions, drawing on residential home equity once these funds have been extinguished.

Total Net Super Capital:	\$1,986,713
Total Net Investment Capital (outside superannuation):	\$34,170
Net Retirement Capital:	\$2,020,882
Net Residential Capital:	\$2,840,510

Scenario 3:

- Implement recommended additional concessional superannuation contributions and recommended 'Catch-Up' contribution schedule.
- Draw on residential home equity to make contributions for the next four years, utilising monies at bank for all future additional contributions.

Total Net Super Capital:	\$2,169,344
Total Net Investment Capital (outside superannuation):	\$32,506
Net Retirement Capital:	\$2,201,850
Net Residential Capital:	\$2,683,868

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice

Based on these Superannuation Capital projections, the following returns would need to be achieved in order for you to satisfy specific annual retirement incomes without eroding any capital:

Scenario	Projected Retirement Capital	Retirement Income Required	Required Annual Return on Capital
1	\$1,830,329	\$60,000	3.28%
		\$120,000	6.56%
		\$180,000	9.83%
2	\$2,020,882	\$60,000	2.97%
		\$120,000	5.94%
		\$180,000	8.91%
3	\$2,201,850	\$60,000	2.72%
		\$120,000	5.45%
		\$180,000	8.17%

What is paid to your adviser

Plan Fee

You have agreed to a fixed fee of \$3,500+GST p.a. for preparation, presentation and implementation of this Statement of Advice. This will be invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of will apply to any Colonial FirstChoice investments implemented. This is generally paid until the investment is redeemed. The actual amount will vary over time according to the mix of the underlying investments and the total value of your funds under management. The actual amount will be dependent on the investment options implemented.

The agreed ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary.

Appendix B – Retirement Capital Projections

Appendix C – LONSEC Reports
